1.7.4 Format of statement of affairs

In the books of --------

Statement of affairs as on --------

Liabilities	₹	Assets	₹
Sundry creditors	xxx	Cash in hand	xxx
Bills payable	xxx	Cash at bank	xxx
Outstanding expenses	xxx	Sundry debtors	xxx
Bank overdraft	xxx	Bills receivable	xxx
Capital (Balancing figure)	xxx	Stock–in–trade	xxx
		Prepaid expenses	xxx
		Fixed assets	xxx
	xxx		xxx

Illustration 6

Following are the balances of Shanthi as on 31st December 2018.

Particulars	₹	Particulars	₹
Bills receivable	6,000	Sundry creditors	25,000
Bills payable	4,000	Stock	45,000
Machinery	60,000	Debtors	70,000
Furniture	10,000	Cash	4,000

Prepare a statement of affairs as on 31st December 2018 and calculate capital as at that date.

Solution

In the books of Shanthi

Statement of affairs as on 31st December, 2018

Liabilities	₹	Assets	₹
Sundry creditors	25,000	Cash	4,000
Bills payable	4,000	Stock	45,000
Capital (balancing figure)	**1,66,000**	Debtors	70,000
		Bills receivable	6,000
		Machinery	60,000
		Furniture	10,000
	1,95,000		1,95,000

12th-Accountancy-Unit-01.indd 10 12/9/2021 10:47:58 PM